

Volume. Volume trends downward nearly all of the time.

Breakout. The breakout can be either up or down, but you'll find a downward breakout happening 90% of the time (I'm not exaggerating). A downward breakout occurs when price closes below the bottom of the extension.

In the figure, a downward breakout occurs at E, but you can use a higher exit point, such as when price closes below the up-sloping trendline C (making a breakout the day after D in this example).

Because downward breakouts are prevalent, wait for price to break out downward to confirm a valid pattern.

Duration. I limited the pattern's duration between 2 weeks and 3 months. These are arbitrary limits but results seem to work well.

Focus on Failures

[Figure 72.3](#) shows what one of two failure types looks like. If you expect a downward breakout, then an upward breakout is a failure. We see that type of failure in this figure.

The extended V-top begins at A when price starts a steep climb to B. The AB move forms the right side of a big W pattern with the left side peaking at F. You might guess that the downward-sloping channel ending at F would pose a serious problem for the stock to push its way through it heading upward (think overhead resistance). Indeed, the stock *does* rise above the channel (at G) but only briefly before tumbling.

Returning to the extended V-top, the stock reverses direction at B, as if the overhead resistance of the channel (F) was too frightening to attempt a higher summit at this time.

The stock retraced a portion of the AB move by dropping to C. Then the stock moved horizontally, forming the extension. A horizontal extension is rare but a joy to see nonetheless.